

ECO 101 Tutorial 1: Thinking like an Economist

Q1. Mei paid \$15 for a non-refundable ticket for a 2-hour long movie. She could sell this ticket for \$10. If she doesn't go to the movie, she could work for 2 hours and earn \$50 (total). Based on this information, if Mei chooses work over the movie, her value from watching the movie is at most \$_____.

- A. \$24.99
- B. \$39.99
- C. \$49.99
- D. \$59.99
- E. \$64.99

Q2. Kiki runs a delivery service between 4-8pm only. She does exactly one delivery per hour. Every delivery requires crossing a bridge for which she has to pay a toll fee that depends on the hour she makes the delivery, summarized in the table below. She charges her customers a per-delivery toll surcharge of \$ p . Focusing only on toll fees and surcharges, what is the lowest p can be for Kiki to be willing to make exactly two deliveries every evening?

Hour	4-5pm	5-6pm	6-7pm	7-8pm
per-delivery toll fee	\$7	\$12	\$10	\$5

- A. \$5
- B. \$7
- C. \$10
- D. \$12
- E. None of the options above.

Q3. Zuko has a monthly cookie subscription. For \$7 a month, he can order as many cookies as he wants paying \$3 per cookie. His marginal benefit from the Q th cookie is $MB(Q) = 10 - 2Q$. The subscription fee increases, but the per-cookie price decreases. Assuming he continues to buy the subscription after the price change, each month he buys _____ cookies and his Net Benefit from the subscription _____.

- A. more; decreases.
- B. more; could increase or decrease.
- C. more; increases.
- D. fewer; increases.
- E. fewer; decreases.

Q4. You need to buy a bike. You have narrowed it down to two options — a blue bike and a red bike. Suppose the price of the RED bike decreases. Your Opportunity Cost of buying the BLUE bike _____ and your Willingness to Pay for the BLUE bike _____.

- A. increases; increases
- B. increases; decreases
- C. increases; stays the same.
- D. decreases; increases
- E. decreases; decreases

Q5. Sosuke works as a boat builder earning \$50,000 a year. He currently pays \$15,000 in rent for his home. He is considering a one-year, full-time programming course. He has already paid \$6,000 for the course, of which only \$2,000 is refundable. He cannot work during the course and would have to pay \$20,000 in rent instead, because the course is in a different city. What is his (economic) cost of taking the course?

- A. \$26,000
- B. \$50,000
- C. \$57,000
- D. \$72,000
- E. \$76,000